CONTRACT OF LEASE

LONG TERM PERCENTAGE RENTAL

This Contract of Lease (hereinafter, the "Contract"), made and executed by and between:

GREENFIELD DEVELOPMENT CORPORATION, a corporation duly organized and existing under the laws of the Republic of the Philippines with principal office at Greenfield Corporate Center, 88 United Street, Mandaluyong City, represented herein by its duly authorized representatives indicated below (hereinafter, the "**LESSOR**")

- and –

MARY GRACE FOODS, INC., doing business under the name and style of CAFÉ MARY GRACE, a corporation, duly organized under and/or authorized to engage in business in the Philippines, with principal office at Block 2 Lot 25 and 27 Marian Road 2, Brgy. San Martin De Porres, Paranaque City, represented herein by its duly authorized representative indicated below (hereinafter, the "**LESSEE**")

SETS FORTH THAT:

For and in consideration of the faithful compliance by LESSEE with all conditions and covenants hereinafter contained in this Contract, LESSOR hereby leases the Leased Premises to LESSEE, and the LESSEE hereby accepts the lease of the Leased Premises, subject to the terms and conditions specified below.

I. SPECIFIC TERMS AND CONDITIONS

1. LEASED PREMISES: The following shall constitute Leased Premises under this Contract:

Building No./Name & Address	*Floor Location*	*Unit #*	*Floor Area in sqm.*
Pasco 1, Pasco Outlets, Greenfield City Balibago-Tagaytay Road, Barangay Don Jose, Sta. Rosa, Laguna (henceforth, the "Building")	Ground Floor	Annex 1	127.00 – Unit 1 - 6 123.00 – Created leasable space 250.00 - Total As shown in sketch plan attached as Annex A.

2. BUSINESS NAME and PERMITTED USE: LESSEE shall conduct its business in the Leased Premises under the name and exclusively for the Permitted Use, respectively specified below:

Business Name	*Permitted Use*
CAFÉ MARY GRACE	Standard Retail – Food – Specialty Restaurant

3. LEASE PERIOD: The Lease Period, the commencement and expiry of which, and the due dates falling within the Lease Period, shall be as follows:

Lease Period	*Commencement of Lease Period*	*Turnover Date*	*Rental Commencement Date*	*Expiry of Lease Period*
Five (5) Years	July 01, 2024 Or start of operations, whichever comes first	Not later than April 01, 2024	91st day from Turnover Date; provided that, in the event that LESSEE commences operations in the Leased Premises prior thereto, then the day on which LESSEE commences operations in the Leased Premises shall be deemed the Rental Commencement Date.	June 30, 2029 subject in any event to provisions regarding termination of lease covered by this Contract to the extent allowed hereunder.

In no case shall the lease covered by this Contract extend beyond the last day of the Lease Period as determined by this paragraph. There shall be no tacit renewal of the Lease Period, notwithstanding LESSEE's continued possession of the Leased Premises for any length of time after expiration of the Lease Period.

4. RENT AND OTHER OBLIGATIONS: LESSEE shall pay the Rent, CAM Charges, Deposit and Deposit Increments, as required under this Contract.

(a) Commencing on Rental Commencement Date, LESSEE shall pay, as monthly Rent, the higher of (i) Minimum Rent and the applicable value-added tax accruing thereon, or (ii) Percentage Rent and the applicable value-added taxes accruing thereon. For purposes hereof:

(i) Minimum Rent shall be due, as applicable, in the amounts specified in Table I for each month of the relevant year.

(ii) Percentage Rent shall be determined as follows:

Percentage Rent = Basic Rent + (Gross Sales x Applicable Percentage shown in Table I).

Basic Rent shall be due as part of Percentage Rent, as applicable, in the respective amounts shown in Table I.

(b) Commencing on Rental Commencement Date, LESSEE shall pay CAM Charges on a monthly basis in the respective amounts shown in Table I for the relevant year. Thereafter, Rent and CAM Charges shall be due and payable on the fifth business day of each current month in the relevant year during the Lease Period.

(c) LESSEE shall pay the full amount of the Deposit due for Year 1 upon execution of this Contract. LESSEE shall increase the amount of the then current Deposit after Year 1 by an amount equal to the relevant Deposit Increment computed as follows:

Deposit Increment = Deposit due in the relevant year less Deposit due in the immediately preceding year.

The Deposit Increment in the amount specified in Table I shall be due and payable in full on each anniversary of Rental Commencement Date during the Lease Period.

Table 1

YEAR		Rent/Sqm VAT Exclusive in PhP			Total Monthly Rent VAT exclusive in PhP			CAM/Sqm. (VAT Exclusive)	Total Monthly CAM (Exclusive of VAT)	Deposit 4X Monthly Minimum Rent	Deposit Increment	Total Deposit
		Minimum Rent/Sqm.	Percentage Rent/Sqm.		Monthly Minimum Rent	Monthly Percentage Rent						
			Basic Rent	Applicable Percentage		Monthly Basic Rent	Applicable Percentage					
Upon execution of this Contract										1,200,000.00		
Y1	07/01/2024 - 06/30/2025	1,200.00	1,000.00	5%	300,000.00	250,000.00	5%	150.00	37,500.00		0.00	1,200,000.00
Y2	07/01/2025 - 06/30/2026	1,260.00	1,060.00	5%	315,000.00	265,000.00	5%	157.50	39,375.00		60,000.00	1,260,000.00
Y3	07/01/2026 - 06/30/2027	1,323.00	1,123.00	5%	330,750.00	280,750.00	5%	165.38	41,343.75		63,000.00	1,323,000.00
Y4	07/01/2027 - 06/30/2028	1,389.15	1,189.15	5%	347,287.50	297,287.50	5%	173.64	43,410.94		66,150.00	1,389,150.00
Y5	07/01/2028 - 06/30/2029	1,458.61	1,258.61	5%	364,651.88	314,651.88	5%	182.33	45,581.48		69,457.50	1,458,607.50

(d) For the purpose of allowing LESSOR to monitor the Gross Sales of LESSEE as the basis for Percentage Rent:

(i) LESSEE shall ensure that each transaction carried out in the Leased Premises shall be covered by an appropriate sales invoice in the name of LESSEE's outlet or branch operating in the Leased Premises, and registered in an accepted recording machine. Such recording machine shall contain locked-in cumulative tapes with cumulation capacity acceptable to LESSOR. The cash register tapes and supporting invoices and documentation shall be preserved by LESSEE to allow LESSOR to verify Gross Sales using monitoring equipment that it may cause to be installed in the Leased Premises or in the course of a daily, weekly or monthly audit it may choose to conduct in the Leased Premises.

(ii) As of Rental Commencement Date, LESSEE shall use and install, at its/his/her expense, an electronic recording and/or processing system in the Leased Premises for the purpose of providing LESSOR direct access to the 'point of sale" (POS), electronic cash register terminals or recording systems of LESSEE in the Leased Premises through which each transaction constituting Gross Sales shall be recorded and accepted. LESSEE shall ensure that such systems have communication capability that will be compatible with the sales monitoring system to be adopted by LESSOR, and shall adopt such recording and documentation methods and procedures which shall be compatible with such system.

(iii) The electronic recording and/or processing system to be installed by LESSEE for use in the Leased Premises shall be: (aa) purchased by LESSEE from a supplier of such system which has been accredited by LESSOR; (bb) licensed with the appropriate governmental agency; (cc) equipped with LESSOR-accredited terminals and software; (dd) subject to a service maintenance agreement entered into by LESSEE with the LESSOR-accredited supplier; and (ee) covered at all times during the Lease Period by a POS Compliance Certificate issued by LESSOR based on its inspection of the system from time to time. LESSEE shall comply with the rules and regulations to be adopted by LESSOR regarding the operation and use of such electronic recording and/or processing system.

(iv) LESSEE shall submit to LESSEE a monthly Gross Sales report, broken down into the Gross Sales recorded in each "Point of Sale" (POS) system or cash register installed in the Leased Premises, on the 30th day of each calendar month after Rental Commencement Date. The first monthly Gross Sales report shall cover the period from Rental Commencement Date to the 25th day of the nearest calendar month. Thereafter, each monthly Gross Sales report shall cover the period from the 26th day of the immediately preceding calendar month to the 25th day of the current calendar month.

(v) LESSEE shall comply with the guidelines set out in the Addendum for the use and installation of the electronic and recording system which will provide LESSOR with direct access to the POS transactions (the "PC-PCR/POS Guidelines") as set out in the Addendum. LESSOR shall send written alerts to the LESSEE from time to time regarding the offline status of its POS system and the necessity of the LESSEE to pursue remedies to bring its POS system to online status and record sales as required hereunder. LESSOR shall also at its discretion conduct random audits from time to time, without need of sending prior written notification to LESSEE, to determine LESSEE's compliance with its/his/her obligations as set out in clause (d) of this paragraph and under the PC-PCR /POS Guidelines and require LESSEE, either to send their Gross Sales report to the LESSOR's WebPOS System or to manually send its reports to LESSOR, in either case, upon LESSOR's option. Should LESSOR determine that LESSEE is in default of its/his/her obligations hereunder, then LESSOR shall be entitled to pursue the remedies available to it hereunder, including without limitation, the assessment of a penalty which LESSEE shall become liable for and which shall be paid by LESSEE on or before the due date specified in the billing statement to be sent to LESSEE.

(e) Any special levy assessed against the Building by the government, covering a facility, infrastructure or benefit to be available for use by persons or entities on whom the special levy is imposed, shall be pro-rated between LESSOR and the tenants of the Building on the basis of the same ratio that the Common Areas and the area of the Leased Premises tenanted spaces bear to the total building footprint of the Building; provided that, (i) the special levy shall not have accrued or fallen due by reason of the fault or negligence of LESSOR, and (ii) LESSEE shall have benefited or be entitled to the use of the object or coverage of the special levy. LESSOR shall give LESSEE written notice of such levy within 7 days from the time LESSOR is made aware of such levy and shall indicate in such notice the share of the LESSEE in the payment of such levy based on the Floor Area of the Leased Premises.

(f) During the Lease Period, LESSOR shall apply the Deposit to recompense LESSOR for the cost, loss or expense arising out of or in connection with any damage to the Leased Premises or any injury or liability which LESSOR incurs on account of any fault or negligence attributable to LESSEE, its agents and employees. The application of any such cost, loss or expense against the Deposit shall, however, be without prejudice to LESSOR's other remedies under this Contract to the extent applicable. The reduction in the amount of the Deposit at any time during the Lease Period resulting from such application shall give rise to the obligation of LESSEE to effect payment, within 30 days from its receipt of written notice from LESSOR, of an additional amount to bring the Deposit to the cash level required in a relevant year. In no case shall the Deposit be used to settle any unpaid Rent or CAM Charges.

(g) Payments for Rent, CAM, Deposit and other financial obligations under this Contract may be made in cash, through checks in the name of LESSOR as the payee, through bank transfers, or using electronic payment platforms or payment facilities, as specified in the Billing Statement. Cash payments or checks in payment of LESSEE's financial obligations under this Contract shall be delivered to the office of the LESSOR (at the address indicated above) only, unless the Billing Statement specifies otherwise.

5. DEFINITIONS: As used in this Contract, the following terms shall have the respective meanings ascribed below:

"Applicable Percentage" means the percentage to be applied o Gross Sales as basis for determining Rent under paragraph 4 (*Rent and Other Obligations*) and Table I.

"CAM Charges" collectively mean administrative and operating costs and expenses to be incurred or paid for the protection and maintenance of the Leased Premises, Building, and Common Areas, including (i) costs and expenses for the provision of security guard, grass cutting, landscaping, janitorial or pest control services; and (ii) costs and expenses for the maintenance, upkeep, repair or replacement (as LESSOR shall determine) of the Common Areas and its immediate vicinity.

"Common Areas" mean (i) the land on which Building is located, including pedestrian walkways, landscaped areas, patios, sidewalks, loading areas, parking areas and roads; (ii) facilities for providing power, plumbing, water, drainage, sewerage, telecommunications and other utilities found outside the Leased Premises or any space leased to other tenants; (iii) window frames, gutters, and down spouts found on Building; and (iv) exterior walls, structural columns, corridors, lobbies, mechanical rooms, air blowers, mechanical walkways or facilities intended for common use by tenants in Building and their customers. For the avoidance of doubt, power, telecommunications or sewerage lines, cables or pipes found within the Leased Premises which supply utilities for the exclusive use of LESSEE shall not be considered as Common Areas.

"Confidential Information" means any information disclosed by a party to the other party, whether disclosed orally, in writing or in any other medium, including financial data, business plans, business models, strategies, business tactics, customer information, schedules, contacts, computer systems, programs schedules, software, tests, data, trade secrets, prototypes, demonstrations, drawings, samples, devices, specifications, copyrights, patents, know-how or other proprietary or intellectual property rights of the party making the disclosure.

"Deposit" or **"Deposit Increment"** means a financial obligation of LESSEE due and payable to LESSOR pursuant to paragraph 4 (*Rent and Other Obligations*) in the respective amounts set out in Table I.

"Floor Area" means the interior space of the Leased Premises measured (i) horizontally, from but not including the center line of the exterior perimeter wall to but not including the center line of the opposite exterior wall and (ii) vertically, from the top of the concrete floor to the underside of the ceiling.

"Force Majeure" means (i) an event which could not have been foreseen, or if foreseen, could not have been prevented, or (ii) an event the occurrence of which lies beyond the control of a party, or (iii) the direct and natural consequences of the occurrence of an event falling under clauses (i) or (ii), which in any case, renders the performance by such party of its obligations under this Contract impossible or significantly more difficult than the parties contemplated. Without limiting the generality of the foregoing, Force Majeure shall include a natural calamity; war; rebellion; acts of violence, force or intimidation; acts in breach of the applicable law; passage of a law or regulation; closure of government offices; or suspension of banking facilities; or the existence or pendency of a pandemic, quarantine or lock down (unless notwithstanding the existence or pendency of a pandemic, quarantine or lock down, the appropriate government authority does not prohibit a party from conducting its business in the Leased Premises). Labor or transportation strikes, work stoppages, or any other kind of concerted group action seeking redress or the performance of specific acts, shall be considered Force Majeure if occurring on a national or provincial scale.

"Gross Sales" means the selling price or total consideration derived by or accruing to LESSEE in respect of (i) sale of goods, wares, food, drinks or other merchandise transacted in the Leased Premises; (ii) performance of any service or act within the Leased Premises; and (iii) use of the facilities found in the Leased Premises. The selling price or total consideration of the items specified in clauses (i), (ii) or (iii) shall constitute Gross Sales, irrespective of whether such price or consideration shall be (aa) wholly or partly in cash and/or credit, (bb) actually collected or received by LESSEE, or (cc) derived by or shall accrue to LESSEE under a direct sale, consignment, concessionaire or usage arrangement, or as a result of any transaction or operation conducted in the Leased Premises by any other person. However, Gross Sales shall exclude returns and refunds; recoveries from bad debts on which Rent had been previously paid; sales discounts which are separately recorded in sales invoices or books of account; VAT or similar taxes imposed by the national government which are separately recorded in books of account or separately billed to customers; and proceeds from the sale of LESSEE's used fixtures or office equipment which do not constitute part of LESSEE's inventory or stock-in-trade. There shall be no adjustment in Gross Sales to take into account cash shortages and losses arising from foreign exchange transaction in excess of gain.

"Insolvency" means any of the following as applicable: (i) the inability or failure of a party to pay its debts when due; (ii) the filing by a party of a petition for insolvency, suspension of payments or receivership; (iii) a party's entering into an arrangement with or assignment in favor of its creditors; or (iv) filing of an action against a party to declare it insolvent or to place it under receivership.

"Lease Period" and **"Leased Premises"** have the respective meanings given in paragraph 3 (*Lease Period*) and paragraph 1 (*Leased Premises*).

"Major Renovation" means any improvement, addition, alteration or change introduced, installed or effected in the Leased Premises which will affect the Common Areas, structural load allowed in the Leased Premises, supply of utilities to the Leased Premises, sanitary or mechanical facilities in the Leased Premises, entrance to or exit from the Leased Premises or the Building, or the design of the Leased Premises.

"Movable Improvements" means lighting fixtures, doors, interior partitions or other furniture, equipment and fixtures installed by LESSEE at its own cost for use in the Leased Premises, the removal of which from the Leased Premises shall not deface or injure any wall, floor, or ceiling of the Building.

"Partial Destruction" means, for purposes of paragraph 15 (*Damage to Leased Premises*), damage caused to a part of the Leased Premises.

"Permanent Improvements" means structures, development works and/or additions installed by LESSEE in the Leased Premises at its own cost, which cannot be removed without defacing or injuring any wall, ceiling, or floor of the Leased Premises, Building, or Common Areas.

"Permitted Use" has the meaning set forth in paragraph 2 (*Business Name and Permitted Use*).

"PC-PCR /POS Guidelines" shall have the meaning ascribed thereto under clause (d)(v) of paragraph 4 (*Rent and Other Obligations*).

"Related Person (LESSEE)" means an owner, stockholder, director or officer (with the rank of vice-president or higher, or its equivalent) of LESSEE, and **"Related Person (LESSOR")"** means a stockholder, director, officer (with the rank of vice-president or higher, or its equivalent) or employee of LESSOR

"Rent" means the higher of Minimum Rent or Percentage Rent that is due and payable by LESSEE under this Contract. **"Minimum Rent"** and **"Percentage Rent"** have the respective meanings given in paragraph 4 (*Rent and Other Obligations*) and/or Table I.

"Rental Commencement Date" means the date specified in paragraph 4 (*Rent and Other Obligations*); provided that, in the event that LESSEE commences operations in the Leased Premises prior thereto, then the day on which LESSEE commences operations in the Leased Premises shall be deemed the Rental Commencement Date.

"Representing Party" means either LESSOR or LESSEE who, for purposes of paragraph 21 (*Representations and Warranties*), is the party making the representations and warranties specified therein.

"Total Destruction" means, for purposes of paragraph 15 (*Damage to Leased Premises*), damage caused to the Floor Area of the Leased Premises which renders the Leased Premises entirely unusable according to the standards used in the insurance industry.

"Turnover Date" means the date on which physical possession of the Leased Premises shall be actually transferred to LESSEE under the terms and conditions of this Contract, which date shall not be later than the date specified in paragraph 3 (*Lease Period*).

"VAT" means value added taxes and/or any other tax accruing on the receipt of Rent, CAM Charges or on any other payment to be made under this Contract in substitution of or in addition to value-added taxes.

"Year" shall mean a period of 365 calendar days.

6. INTEREST: In the event that LESSEE fails to pay Rent, CAM Charges, Deposit, Deposit Increment or any other financial obligation on the respective due dates for their payment as provided for in this Contract, then LESSEE shall pay LESSOR interest at the rate of 3% per month on the unpaid amount until full payment thereof. Interest shall be computed daily and compounded monthly. The obligation imposed on LESSEE to pay interest shall be without prejudice to the other remedies that LESSOR may avail itself of under paragraph 19 (*Termination Due To Lessee's Fault Or Negligence*).

7. TAXES: LESSOR shall be liable for the payment of real property taxes accruing on the Leased Premises. LESSEE shall be liable for the payment of VAT accruing on the payment and receipt of Rent, CAM Charges and any other payment to be made under this Contract as required under applicable law. Documentary stamp taxes and notarization fees necessary for the execution of this Contract shall also be for the account of LESSEE. The amount of taxes required to be withheld under the applicable law from the payment of Rent shall be remitted by LESSEE for the account of LESSOR to the Bureau of Internal Revenue (or its successor agency) on or before the due date for such payment under applicable law.

8. TURNOVER, FIT-OUT AND RENOVATION: LESSOR shall transfer physical possession over the Leased Premises on Turnover Date. LESSOR shall send LESSEE at least 30 days' prior written notice of the date that will constitute the Turnover Date. LESSEE shall be entitled to inspect the Leased Premises prior to Turnover Date to determine whether the requirements of clause (a) of this paragraph as to the physical condition of the Leased Premises have been met.

(a) On Turnover Date, the Leased Premises shall be in bare condition, and shall have the specifications indicated in the Certificate of Turnover (which shall be in the form attached hereto as **Annex B**). LESSOR and LESSEE shall each sign the Certificate of Turnover on Turnover Date.

(b) LESSEE shall use the period from Turnover Date and until Rental Commencement Date to undertake and complete the fit-out of the Leased Premises at its own cost. Building plans and specifications for such fit-out shall be submitted to LESSOR for its approval prior to the commencement of any fit-out work on the Leased Premises. Any Major Renovation work to be done in the Leased Premises during the Lease Period shall also require the prior written approval of LESSOR. LESSEE shall use duly licensed and reputable contractors for the fit-out and any renovation or improvement of the Leased Premises, and shall keep the Leased Premises free from any liens arising out of any work performed, materials furnished or obligations incurred by LESSEE in connection with the fit-out, renovation or improvement. In no case shall LESSEE's renovation, fit-out or improvement of the Leased Premises interfere with the operation and use of Common Areas, prejudice LESSOR's free access to mechanical installations

or service facilities of the Building, or adversely affect LESSOR's ability to move its equipment to and from the enclosures containing such equipment. Neither shall such fit-out, renovation or improvement prejudice the rights of other tenants of the Building to access their leased spaces or Common Areas, or interfere with the conduct of business or activities therein.

(c) Simultaneously with the transfer of physical possession of the Leased Premises to LESSEE on Turnover Date, LESSEE shall deliver to LESSOR a cash construction bond which shall answer for any damage caused by LESSEE to Common Areas, or any wall, ceiling or floor of the Leased Premises or Building, or areas within the immediate vicinity thereof by reason of the fit-out of the Leased Premises. Any Major Renovation work to be undertaken thereafter shall, at the option of LESSOR, require as a condition precedent the submission of a construction bond which shall answer for any damage caused to Common Areas, or any wall, ceiling or floor of the Leased Premises or Building, or areas within the immediate vicinity thereof by reason of such Major Renovation work. In either case, the construction bond shall be equal to the prevailing monthly Minimum Rent, and shall be refunded to LESSEE within 30 days from the completion of the fit-out or Major Renovation of the Leased Premises, less any amount which LESSOR shall deduct to cover the damages covered by this clause (c).

(d) LESSEE shall cause the installation of Movable Improvements and Permanent Improvements in the Leased Premises at its own cost. LESSEE may remove Movable Improvements from the Leased Premises from time to time during the Lease Period without need of the prior approval of LESSOR; provided that, LESSEE is not in breach of this Contract, or paragraph 22 (*Lien*) does not otherwise become applicable. LESSEE may remove Permanent Improvements from the Leased Premises subject to the prior written approval of LESSOR.

(e) In the event that by reason of LESSOR's fault and/or negligence, LESSOR is unable to transfer physical possession of the Leased Premises by the required Turnover Date, and LESSEE is prevented from undertaking or completing the fit-out of the Leased Premises resulting in LESSEE being unable to commence operations in the Leased Premises by Rental Commencement Date, then:

(i) LESSOR shall grant the LESSEE a Rent-free extension equal to the delay in effecting transfer of physical possession by the required Turnover Date for the purpose of completing fit-out work for the Leased Premises.

(ii) The Rental Commencement Date and Lease Period shall be respectively and correspondingly extended by a period equal to the delay in effecting transfer of physical possession of the Leased Premises by the required Turnover Date.

9. USE OF LEASED PREMISES: LESSEE shall exclusively devote the Leased Premises to the Permitted Use. LESSEE shall not divert the Leased Premises or part thereof to other uses without the prior written consent of LESSOR. In the event that LESSEE operates any part of the Leased Premises for uses other than the Permitted Use, then LESSOR at its discretion shall have the option of (i) increasing the prevailing monthly Rent due under this Contract, whether by increasing Minimum Rent or the Applicable Percentage, or both; (ii) cancelling the lease under this Contract, in which case, paragraph 19 (*Termination Due To Lessee's Fault Or Negligence*) thereupon becomes applicable, or (iii) compelling LESSEE to desist from pursuing its unauthorized activities. Use of the Leased Premises shall be subject in any case to rules and regulations that LESSOR may promulgate from time to time. Notwithstanding anything to the contrary, the Leased Premises shall not be used for illegal or immoral purposes, or be used as venue for the conduct of any form of gambling activity or lotto operations.

10. UTILITIES: LESSEE shall be responsible for the payment of deposits, charges based on consumption rates, cost of metering, fees, administrative charges, and assessments accruing in connection with the installation and maintenance of power, water, telecommunication, internet and other utilities for the Leased Premises, on or before the respective due date(s) specified in the applicable statement of account. LESSEE shall submit to LESSOR, upon latter's request, copies of installation contracts, billings and receipts covering payments made by LESSEE for the installation and supply of such utilities.

11. ADDITIONAL COVENANTS OF LESSEE: During the Lease Period:

(a) LESSEE shall maintain and keep the Leased Premises in good, sanitary and tenantable condition, free from obnoxious odors, disturbing noises or other nuisances. For this purpose, LESSEE shall undertake all repairs of the Leased Premises and the interior thereof, including the repair or replacement of Movable Improvements, power, telecommunications or water lines, cables or pipes which are found within the Leased Premises and which supply utilities for the exclusive use of LESSEE.

(b) LESSEE shall obtain the prior written approval of LESSOR for any signage, notice or advertising medium to be affixed, inscribed, attached or painted on or about the Leased Premises or on the exterior of the Building.

(c) LESSEE shall not, directly or indirectly, sub-lease any part of the Leased Premises, without the prior written approval of LESSOR. For the avoidance of doubt, a consignment of goods or concession agreement shall not be considered a sub-lease for purposes of this Contract, provided that (i) sales of consigned goods are not transacted by sales personnel who are not employed by LESSEE; (ii) payment of the proceeds to be derived from sales under the consignment or concession shall be made to a "point-of-sales" computer system or cash register(s) owned or controlled solely by LESSEE; and/or (iii) sale merchandise shall be released directly to the buyer(s) thereof at a check out counter owned or controlled solely by LESSEE.

(d) LESSEE shall not, directly or indirectly, enter into any assignment of its rights under this Contract, nor allow the use of the Leased Premises, in favor of or by any third person, whether such person be an affiliate, subsidiary or otherwise, without the prior written approval of LESSOR. Neither shall LESSEE mortgage, encumber or create any lien or security interest in and to the leasehold rights arising under this Contract.

(e) Nothing shall be done or omitted by LESSEE that will prejudice the structural integrity of the Leased Premises, Building or Common Areas. LESSEE shall not do or omit to do anything which will pose a fire hazard, otherwise increase the premium or other charges LESSOR will have to pay to maintain adequate property insurance for the Leased Premises, Common Areas or Building, or cause the cancellation thereof. Except in the normal course of its

operation of the Leased Premises, LESSEE shall not bring into or store in the Leased Premises items having highly inflammable or combustible nature; materials vulnerable to explosion or ignition; or any apparatus, machinery or equipment which may cause noxious odors or noise.

(f) LESSEE shall obtain permits and licenses at its expense as may be required by the national and/or local authorities in connection with its business, trade or occupation; the renovation, fit-out or improvement of the Leased Premises; and LESSEE's operation of the Leased Premises. LESSEE shall conduct its business, trade or occupation in an orderly manner so as not to interfere with the operation, management and business of LESSOR, or of the Common Areas, Building or other tenants.

(g) Unless otherwise covered by the Permitted Use, LESSEE shall not permit any animal, domesticated or otherwise, to enter, roam around or otherwise stay in the Leased Premises.

(h) LESSEE shall comply with all the rules, regulations, ordinances and laws enacted by duly constituted authorities of the municipality, city and/or national government governing the use, occupancy, security and sanitation of the Leased Premises. LESSEE shall also comply with rules and safety regulations which may be imposed from time to time by LESSOR on tenants of the Building, including rules and regulations relating to Common Areas and disposal and/or management of all waste materials and the care of the environment. LESSEE agrees that LESSOR shall not be responsible for the failure of any tenant to comply with such rules and regulations.

(i) LESSEE shall not do or permit anything to be done in or about the Leased Premises which will in any way obstruct or interfere with the rights of the other tenants, occupants or customers of the Building. No loudspeakers or other similar device which can be heard outside the Leased Premises shall, without the prior written approval of LESSOR, be used in the Leased Premises. LESSEE shall not commit, or suffer to be committed, any nuisance or any other act or thing that may disturb the operations or possession of, or cause unreasonable annoyance to, other tenants of the Building.

(j) LESSEE shall permit LESSOR or its duly authorized representatives to enter the Leased Premises under the following conditions:

(i) LESSEE shall allow LESSOR to enter the Leased Premises at a reasonable hour during a business day and upon at least 3 days' prior written notice, for the purpose of inspection, maintenance, or undertaking repairs or alterations of Common Areas or any portion of the Building, including the erection and maintenance of scaffolding, canopies, fences or other installations used for repairs or maintenance.

(ii) LESSOR shall be entitled to exhibit the Leased Premises to prospective tenants upon at least 3 days' prior written notice to LESSEE.

(iii) in the event of an emergency where LESSOR finds that a threat to the security of persons or property within the Leased Premises or its vicinity is found to exist or is determined to be imminent, LESSOR, its employees or agents shall be entitled to break open the doors of the Leased Premises to gain entrance when necessary, and enter the Leased Premises for purposes of adopting appropriate measures to address such emergency.

(iv) In none of the foregoing instances will LESSOR incur any liability to LESSEE for any interruption in physical possession of the Leased Premises. LESSEE waives any claim for damages for any injury or inconvenience to or interference with LESSEE's business or any loss of occupancy or quiet enjoyment of the Leased Premises and any other loss in, upon or arising from LESSOR's entry into the Leased Premises in such instances.

(k) LESSEE shall carry and maintain throughout the Lease Period appropriate insurance to protect the Leased Premises and Permanent Improvements and Movable Improvements, including inventory, supplies and other materials stored in the Leased Premises, from the risk of fire, accident, third-party liability, or any other risk generally protected against in businesses of like nature, and to protect against any damage caused to or loss of property, or loss of life or injury, occurring in the Leased Premises. LESSEE shall obtain such insurance at its own cost from an insurer acceptable to LESSOR. Such insurance shall provide coverage adequate to protect LESSOR and LESSEE against principal or contingent liability for damage claims arising under this clause (k).

12. COVENANTS OF LESSOR: For as long as LESSEE duly pays the Rent, CAM Charges and Deposit Increment and otherwise complies with all its other obligations under this Contract during the Lease Period:

(a) LESSOR shall allow LESSEE to have physical possession of the Leased Premises, free from any eviction or interference from LESSOR, provided that LESSOR shall be entitled to enter the Leased Premises to the extent allowed under clause (j) of paragraph 11 (*Additional Covenants of LESSEE*).

(b) LESSOR shall undertake all the repairs and maintenance of the Common Areas and for this purpose, shall apply the CAM Charges collected from tenants of the Building for such repair and maintenance.

(c) LESSOR shall carry and maintain appropriate insurance, at its own cost, to protect Common Areas and Building from the risk of fire, accident, third-party liability, or any other risk generally protected against in the leasing business.

(d) LESSOR shall give LESSEE, its employees and customers a non-exclusive right to the reasonable use or enjoyment of the Common Areas, subject to LESSEE's payment of CAM Charges when due and payable and to such rules and regulations as LESSOR may adopt in respect of Common Areas under clause (a) of paragraph 13 (*Common Areas*).

(e) LESSOR shall provide LESSEE's employees, customers and guests with parking in common with other tenants, and their guests and employees under such terms and conditions as may be established by LESSOR.

13. COMMON AREAS: LESSOR shall be entitled to:

(a) establish and enforce rules and regulations applicable to all tenants concerning the maintenance, management, use and operation of Common Areas; and

(b) make changes in the Common Areas, including but not limited to changes in the location of driveways, entrances, exits, vehicular parking spaces, parking areas, direction or flow of traffic; provided that, the number of parking slots which LESSEE enjoys in common with other tenants shall not be reduced.

14. NON-ABATEMENT OF RENT OR OTHER OBLIGATIONS: Except to the extent of LESSOR's obligation under paragraph 16 (*Indemnity*), or as otherwise provided for in this Contract, LESSEE shall not be entitled to an abatement, reduction or refund of Rent, CAM & Airconditioning Charges, Deposit or any other financial obligation under this Contract, or to hold LESSOR liable for loss of business or injury to persons or property, and LESSOR shall accordingly not be liable for:

(a) any disruption or failure to supply the Leased Premises with utilities, or a reduction in the volume or quality of utilities supplied to the Leased Premises;
(b) the failure or improper performance of services funded by CAM Charges;
(c) any disruption in LEESSEE's peaceful possession of the Leased Premises by reason of Force Majeure, including fire, explosion, or falling debris;
(d) any inconvenience, discomfort, interruption of business or otherwise, arising from making alterations or improvements in any part of the Building;
(e) the presence of bugs, vermin, termites, rodents or other insects in the Leased Premises;
(f) any loss or damage to an article delivered or left by LESSEE with any of LESSOR's employees;
(g) any damage done or occasioned by or arising from leaking plumbing, gas, water and/or other installations, or the destruction of any cistern, tank, wash stand, water closet or waste pipes in, above, upon or about the Leased Premises;
(h) Partial Destruction of the Leased Premises to the extent specified in clause (a) of paragraph 15 (*Damage to Leased Premises*);
(i) theft or any other form of unlawful taking;
(j) gas, rain, dampness, or electricity leaking into any part of the Leased Premises from any part of the Leased Premises, Building, street, subsurface or any other area within the vicinity thereof; or
(k) strikes, lock-outs, work stoppages, or other forms of concerted mass action which are not conducted on a national or provincial scale.

15. DAMAGE TO LEASED PREMISES: In the event that the Leased Premises is damaged, whether due to Force Majeure or otherwise:

(a) The Partial Destruction of the Leased Premises to the extent of not more than 10% of the Floor Area of the Leased Premises, as certified to by an acceptable insurer, shall in no way annul or void the lease covered by this Contract, and the LESSEE shall not be entitled to a proportionate reduction, refund or abatement in the payment of Rent, CAM Charges, Deposit or any of LESSEE's financial obligations under this Contract; provided that, LESSOR shall forthwith cause the necessary repairs to be made and completed to allow LESSEE to continue with the Permitted Use in the Leased Premises. No compensation or claim shall be allowed against LESSOR by reason of inconvenience, annoyance or injury to business arising out of the necessity of repairing any portion of the Leased Premises.
(b) Should the completion of the repair of the Leased Premises exceed 30 days, or should the Partial Destruction of the Leased Premises exceed more than 10% of the Floor Area of the Leased Premises, then LESSOR shall at its option (i) terminate the lease covered by this Contract; or (ii) continue with the lease covered by this Contract and undertake the repair or reconstruction of the Leased Premises. Should LESSOR decide to continue with the lease, (aa) only Minimum Rent shall be due and payable during the period of repair, and (bb) CAM Charges shall be proportionately reduced during the period of repair, as follows:

Adjusted CAM Charges	=	$Z - [(A \div B) \times Z]$
Where:		
A	=	Floor Area damaged
B	=	total Floor Area of the Leased Premises
Z	=	Prevailing CAM Charges

Upon the completion of the repair, the Rent to be due to LESSOR shall revert to the higher of the prevailing Minimum Rent or Percentage Rent as provided in Table I for the relevant year. In addition, CAM Charges to be due and payable by LESSEE shall then become due and payable in the respective amounts specified in Table I for the relevant year, without any further adjustment.

(c) Notwithstanding anything to the contrary in this paragraph, this Contract shall terminate in the event that Partial Destruction occurs during the last 30 days of the Lease Period.
(d) The Total Destruction of the Leased Premises shall terminate this Contract.
(e) In the event the lease covered by this Contract terminates by reason of Partial Destruction or Total Destruction which in either case arises without any fault or negligence of any party, then:
  (i) LESSEE shall comply with paragraph 18 (*Termination without Fault or Negligence*) to the extent applicable.
  (ii) The proceeds derived from the insurance to be obtained by LESSEE pursuant to clause (k) of paragraph 11 (*Additional Covenants of LESSEE*) shall belong solely to LESSEE.
  (iii) The proceeds derived from the insurance to be obtained by LESSOR under clause (c) of paragraph 12 (*Covenants of LESSOR*) shall belong solely to LESSOR.
(f) The determination by the insurer chosen by LESSOR to assess the damage to the Leased Premises under the insurance policy to be obtained by LESSOR under clause (c) of paragraph 12 (*Covenants of LESSOR*), as to whether damage caused to the Leased Premises constitutes Partial Destruction or Total Destruction, shall be final and conclusive on LESSEE and LESSOR.
(g) This paragraph shall be without prejudice to the liability of a party under paragraph 16 (*Indemnity*), paragraph 19 (*Termination Due To Lessee's Fault Or Negligence*), and/or paragraph 20 (*LESSEE's Remedy for LESSOR's Default*), to the extent applicable, in the event that damage to the Leased Premises is found to be caused by the fault or negligence attributable to such party.

(h) In the event Partial Destruction of the Leased Premises does not give rise to a termination of this Contract, the proceeds to be derived under the insurance LESSEE obtained pursuant to clause (k) of paragraph 11 (*Additional Covenants of LESSEE*) shall be used exclusively for the fit-out and renovation of the Leased Premises and for the replacement of the Movable Improvements, supplies and other materials installed or stored by LESSEE in the Leased Premises, which were lost or destroyed by reason of Partial Destruction of the Leased Premises.

16. INDEMNITY: A party shall indemnify, defend and hold the other party free and harmless from any claim, damage, cost, loss or expense (including attorney's fees and costs of suits brought before any court or administrative agency) arising out of or from (i) a breach or default of this Contract; or (ii) the fault or negligence attributable to the indemnifying party; provided that, in either sub-clause (i) or (ii), the obligation to indemnify accrues only after the lapse of the applicable grace period for performance allowed under this Contract. Without limiting the generality of the foregoing, and to the extent specified below:

(a) LESSEE shall indemnify, defend and hold LESSOR free and harmless from any claim, damage, cost, loss or expense (including attorney's fees and costs of suits brought before any court or administrative agency) arising from LESSEE's use of the Leased Premises, or the conduct of its business or from any activity, work, or thing to be done, permitted, or suffered to be done by LESSEE in or about the Leased Premises.

(b) LESSOR shall indemnify and hold LESSEE free and harmless from any liability arising from (i) claims from laborers, contractors or suppliers who have undertaken work in respect of the construction or maintenance of the Building or Common Areas; or (ii) loss or damage to property, or injury or loss of life incurred by LESSEE, its employees or customers, occurring in Common Areas. The indemnity undertaken by LESSOR under this clause (b) shall be satisfied from the proceeds of construction bonds or from warranties of contractors or suppliers which LESSOR shall require in respect of the construction and maintenance of Common Areas. LESSOR shall be entitled to assign to LESSEE a pro rata right to the benefits accruing under these bonds or warranties in satisfaction of the indemnity provided for in this clause (b).

(c) A party shall not be held liable for any delay or failure in the performance of any of its obligations under this Contract by reason of the occurrence and pendency of Force Majeure; provided that, the party seeking to avail itself of the defense of Force Majeure shall be free of contributory negligence in causing or aggravating the delay or failure of performance resulting from the Force Majeure. The affected party shall send written notice to the other party within 15 days from the occurrence of the Force Majeure, which notice shall specify in detail the particular Force Majeure which caused the delay or failure of performance and the measures that it took to minimize the consequences of such delay or failure. The period to complete or perform the obligation in question shall be deemed extended by the same period as the pendency of the Force Majeure.

17. EXPROPIATION OR CONDEMNATION: If all or part of the Leased Premises is taken by any authorized public authority under the power of eminent domain or condemnation, and the taking becomes final and conclusive on LESSOR as owner thereof, then the lease covered by this Contract shall terminate. For this purpose, LESSOR shall send LESSEE written notice of such termination at least 30 days prior to the expected turn over of the Leased Premises to the expropriating or condemning authority. LESSOR shall be entitled to, and LESSEE shall assign to LESSOR, the award, proceeds or any other interest to be paid or transferred to LESSEE by reason of such taking. LESSEE shall have no claim against LESSOR by reason of such expropriation or condemnation.

18. TERMINATION WITHOUT FAULT OR NEGLIGENCE: The lease covered by this Contract shall terminate upon the lapse of the Lease Period, or upon the happening of an event which gives rise to termination or to an exercise of an option to terminate, including without limitation, expropriation, condemnation, Total Destruction or Partial Destruction, without any accompanying fault or negligence of any party. In this case:

(a) LESSEE shall vacate the Leased Premises upon prior written notice from LESSOR.

(b) LESSEE shall leave the Leased Premises in the same condition as the Leased Premises were found on Turnover Date (reasonable wear and tear, and loss or damage by Force Majeure excepted). For this purpose, LESSEE shall restore the Leased Premises to the original condition thereof on Turnover Date (reasonable wear and tear, and loss or damage by Force Majeure excepted), remove Permanent Improvements, and rectify any alteration of the Leased Premises, whether made with or without the consent of LESSOR, unless LESSOR waives in writing the removal of such alteration or improvement.

(c) Permanent Improvements which LESSOR does not require LESSEE to remove from the Leased Premises shall become the property of LESSOR, without need of any reimbursement or payment from LESSOR. Movable Improvements shall remain the property of LESSEE, and shall be removed by LESSEE from the Leased Premises. If LESSEE fails for any reason to remove any such Movable Improvement, then LESSOR shall remove the same without incurring any liability to LESSEE for loss or damage, and charge the cost of such removal to LESSEE by applying such cost against the Deposit.

(d) LESSOR shall return the Deposit, without any interest, within 30 days from the expiry of the Lease Period or the termination of the lease covered by this Contract, net of (i) any cost or expense incurred by LESSOR to effect the restoration of the Leased Premises to its condition on Turnover Date (reasonable wear and tear, and loss or damage by Force Majeure excepted) due to the failure of LESSEE to perform its/his/her obligations to the extent required under clause (b) or (c) of this paragraph; and/or (iii) unpaid utility bills or any unpaid obligation of LESSEE under this Contract.

19. TERMINATION DUE TO LESSEE'S FAULT OR NEGLIGENCE: The lease covered by this Contract shall terminate under the following conditions:

(a) Any of the following events shall have occurred and be continuing:

(i) failure of LESSEE to effect payment of Rent, CAM Charges, Deposit, Deposit Increment or any other amount due hereunder within a period of 30 days from the date on which any such payment becomes due and payable;

(ii) LESSEE's abandonment of the Lease Premises for at least 15 days; or any pre-termination of the lease covered by this Contract for any reason prior to the expiry of the Lease Period;

(iii) LESSEE's Insolvency;

(iv) failure of LESSEE to observe, perform or comply with any of the covenants, conditions, representations and warranties hereunder, and such failure continues for a period of 30 days from LESSEE's receipt of written notice of such failure from LESSOR; and/or

(v) a breach of the obligations of the LESSEE under clause (d) of paragraph 4 (*Rent And Other Obligations*), including without limitation the following:

(1) any willful misrepresentation or dishonesty in the invoicing or registering of any transaction;

(2) repetitive and deliberate disregard of the Sales Punching Requirement which means the requirement for the posting of sales in the POS System during the actual transaction;

(3) exploitation of LESSOR's computer system to gain unauthorized access to or control over the security systems of LESSOR's computer network for illicit purposes, such as hacking or any unauthorized use of LESSOR's POS System/Network;

(4) repeated detection of viruses in the LESSEE's POS system and deliberate disregard in the importance and installation of Anti-Virus programs; and/or

(5) repeated violation of the PC-PCR/POS Guidelines.

(b) The lease covered by this Contract shall terminate upon LESSEE's receipt of written notice from LESSOR. Thereupon, LESSEE shall immediately vacate the Leased Premises. LESSEE shall remain obligated to restore the Leased Premises to the original condition thereof on Turnover Date.

(c) LESSOR shall be entitled to enter the Leased Premises, recover physical possession and control of the Leased Premises, padlock the Leased Premises, and perform any act LESSOR is allowed under this Contract to perform as LESSEE's attorney-in-fact appointed in accordance with clause (g) of this paragraph, without need of any notice to or consent from LESSEE. Permanent Improvements, Movable Improvements, and all fixtures, goods or items found therein, shall be forfeited in favor of LESSOR, and may be sold by LESSOR for such price as LESSOR shall consider fair and reasonable under the circumstances. The proceeds to be derived from such sale shall be applied to the outstanding obligations of LESSEE under this Contract.

(d) The Deposit shall be forfeited in its entirety in favor of LESSOR.

(e) LESSOR shall collect, and LESSEE shall become liable for, a penalty in the amount equal to the aggregate Minimum Rent for the unexpired Lease Period. The penalty shall be immediately due and demandable. Payment of the penalty shall be without prejudice to the obligations of LESSEE under paragraph 6 (*Interest*) or paragraph 16 (*Indemnity*).

(f) In the event that the penalty due under clause (e) is insufficient to cover the cost, expense, loss or damage arising out of or in connection with LESSEE's fault or negligence or breach of this Contract, then paragraph 16 (*Indemnity*) becomes applicable, and LESSEE remains liable for the payment of any deficiency in such cost, expense, loss or damage which the penalty cannot cover.

(g) To the extent necessary, and upon the termination of this Contract under this paragraph, LESSEE agrees that LESSOR shall be appointed, and LESSOR shall be deemed appointed, as LESSEE's attorney-in-fact to effect any of the remedies set out in this paragraph, with full power and authority to take over, open, enter, occupy, padlock, secure, enclose or fence the Leased Premises; discontinue public utilities; and take full and complete physical possession and control of the Leased Premises or any of the improvements that may be located therein, without need of resorting to court action, the giving of any notice, or obtaining LESSEE's consent. LESSOR may, at its option, take the remedial action authorized by this clause (g) prior to the termination of this Contract when circumstances warrant such remedial action, but in any case, upon the occurrence of LESSEE's default.

(h) The remedies under this paragraph may be exercised by LESSOR, alternatively or cumulatively, to the extent allowed in law.

(i) For as long as LESSOR or its authorized agents strictly adheres to the conditions and limits of the remedies allowed under this paragraph, LESSOR or its authorized agents shall be free from any civil and/or criminal liability arising from the implementation of the remedies allowed under this paragraph.

20. LESSEE'S REMEDY FOR LESSOR'S DEFAULT. LESSEE shall be entitled to hold LESSOR liable for a breach of this Contract under the following conditions:

(a) LESSOR shall be in breach of this Contract if it fails to perform its obligations hereunder, and such failure continues for a period of 30 days from the date such obligation accrues as provided for in this Contract. However, in the event that the nature of LESSOR's obligation is such that more than 30 days are required to perform, then LESSOR shall not be in default if it commences performance within 30 days from the date such obligation accrues as provided for in this Contract, and thereafter pursues performance with due diligence.

(b) Paragraph 16 (*Indemnity)* provides LESSEE's sole remedy for LESSOR's default under this Contract, and for any claim, damage, cost, loss or expense (including attorney's fees and costs of suits brought before any curt or administrative agency) arising out of or from LESSOR's fault or negligence. However, this clause (b) shall not be deemed a waiver of the right of LESSEE to commence an action in court to enforce its rights under this Contract.

21. REPRESENTATIONS AND WARRANTIES. The Representing Party represents and warrants to the other party that:

(a) If the Representing Party is a corporation: then (i) it is duly organized, validly existing and in good standing under the laws of the place of its incorporation, with all the requisite powers to carry on its business as presently conducted; (ii) it has the corporate power, authority and legal capacity to enter into this Contract and has taken all necessary corporate action, including the approval of its board of directors and/or stockholders, as necessary or

appropriate, for the execution and delivery of this Contract and the performance of its obligations hereunder; (iii) its execution or delivery of this Contract, and its performance of its obligations hereunder, do not violate, conflict with, or result in breach of, its charter documents.

(b) The Representing Party has duly executed and delivered this Contract. This Contract constitutes its/her/his legal, valid and binding obligation, enforceable in accordance with its terms.

(c) The Representing Party has all authorizations, approvals, licenses and orders of and from all governmental and regulatory authorities and bodies necessary to carry on its/her/his business as currently conducted, and is in compliance in all material respects with all such authorizations, approvals, licenses and orders and all laws, statutes, rules, regulations and administrative orders.

(d) The execution or delivery of this Contract by the Representing Party, and its/her/his performance of its/ her/his obligations hereunder, do not violate, conflict with, or result in breach of, or constitute a default under, any provision of law, statute, rule or regulation or any judgment, order, or decree of any court or governmental body, or any agreement, contract or instrument by which it/she/he or any of its/her/his assets is bound or subject, or any law, statute, rule or regulation or any judgment, order, or decree of any court or governmental body.

(e) There is no litigation, tax claim, proceedings or dispute pending or threatened against or affecting the Representing Party or its/his/her properties, the adverse determination of which may adversely and materially affect the financial condition or operations of the Representing Party or impair its/his/her ability to perform the obligations required of the Representing Party hereunder.

22. LIEN: Rent and CAM Charges remaining unpaid for a period of 1 year shall constitute a preferred lien on all personal properties of LESSEE found or located in the Leased Premises in accordance with Articles 2241 and 2243 of the Civil Code of the Philippines. For this purpose, LESSOR is hereby authorized to prevent removal of the said properties from the Leased Premises or demand their return from any possessor thereof.

23. NOTICES: Any notice, request, demand or other form of communication required or permitted to be sent to a party hereunder shall be in writing and sent by registered mail or personal delivery to the party's address as stated in this Contract, or by email to the email address specified by such party in any other document related to this Contract. Notice sent to the address or email address specified by a party shall be considered sufficient compliance with all requirements for notice for purposes of this Contract. Any notice, request, demand or other form of communication shall be deemed to have been received on (i) the date of delivery if sent by personal delivery, or (ii) ten (10) days after posting if sent by mail, whether ordinary or registered, or by courier, when sent to a Philippine address, or (iii) fifteen (15) days after posting if sent by mail, whether ordinary or registered, or by courier, when sent to an address outside the Philippines, or (iv) on the date the sending party receives email confirmation of the delivery of such notice to the recipient's email address.

24. CURRENCY INFLATION, DEFLATION: In case extraordinary inflation or deflation of the currency stipulated should supervene during the effectivity of this Contract, the value of the currency at the time of the establishment of this obligation shall be the basis of payment as provided for in Article 1250 of the Civil Code of the Philippines.

25. NON-WAIVER: The failure of a party to insist upon a strict performance of any of the terms, conditions and covenants of this Contract shall not be deemed as relinquishment or waiver of any rights or remedy that such party may have, nor shall it be construed as a waiver of subsequent breach or default of the terms, conditions and covenants hereof, all of which shall continue to be in full force and effect.

26. JUDICIAL RELIEF: Should an aggrieved party be compelled to commence judicial action against the other party, the latter shall, in addition to the consequences arising under paragraph 16 (*Indemnity*), paragraph 19 (*Termination Due To Lessee's Fault Or Negligence*), and/or paragraph 20 (*LESSEE's Remedy for LESSOR's Default*), to the extent applicable, pay the aggrieved party an amount equivalent to 20% of the amount claimed in the complaint as attorney's fees (with minimum of ₱50,000.00) aside from the costs of the litigation and other expenses which the aggrieved party may legally recover from the defaulting party.

27. VENUE: The parties agree that any legal action arising under this Contract shall be brought exclusively before the courts of competent jurisdiction in Mandaluyong City, Philippines.

28. ENTIRE AGREEMENT; BINDING AMENDMENT: This Contract constitutes the entire agreement of the parties with respect to the lease of the Leased Premises. Any prior understanding of any kind preceding the date of this Contract shall not be binding upon either party, except to the extent incorporated in this Contract. Any modification of this Contract or additional obligation assumed by either party after the date hereof in connection with this Contract shall be binding only if evidenced in writing signed by each party.

29. CONFIDENTIALITY: Each party hereto shall, and shall cause its directors, officers, stockholders, employees, agents, legal counsel, auditors and/or representatives at all times to, not disclose, divulge, copy, duplicate, record or otherwise reproduce, in whole or in part, or otherwise use directly or indirectly, any of the Confidential Information in any way other than for purposes of this Contract. This paragraph shall, however, not apply to any information which:

(a) Has become publicly known through no fault of the parties bound and all their directors, officers, stockholders and employees;

(b) Was rightfully received from a third party without a breach of any agreement by such third party; or

(c) Was approved for release by written authorization of the concerned party.

If a party is required to disclose Confidential Information, it must promptly give notice to the other party to enable the party being required to make the disclosure to seek a protective order or otherwise seek to protect the Confidential Information. Such notice shall include full details of the circumstance of the disclosure except when such notification is prohibited by relevant laws or regulations.

30. DISCLOSURE OF RELATED PERSON AND ADDITIONAL COVENANTS: LESSEE agrees to disclose the existence of a relationship between a Related Person (LESSEE) with a Related Person (LESSOR) up to the 4th civil degree, whether by blood or affinity, on or before Rental Commencement Date, or should the relationship between the Related Person (LESSEE) and the Related Person (LESSOR) arise thereafter, immediately upon LESSEE's

discovering or coming to know of such relationship. (For purposes hereof, a relative within the "*4th civil degree*" shall include a parent, grandparent, child, sibling, child of sibling, sibling of parent, first cousin or an in-law corresponding to any of the foregoing). LESSEE shall not cause the relationship between the Related Person (LESSEE) and the Related Person (LESSOR) to be used, directly or indirectly, to enable LESSEE to obtain any gift, interest, favor, advantage, concession, rebate, commission, or other benefit not otherwise covered or allowed under this Contract from LESSOR. Neither shall LESSEE cause any person representing LESSEE to offer any gift or benefit to any person representing LESSOR. LESSEE confirms it/she/he is aware of the rule adopted by LESSOR which prohibits any person representing LESSOR from accepting any benefit from LESSEE which shall, directly or indirectly, result in LESSEE's obtaining and enjoying any favor, advantage, concession, rebate, commission, or other benefit not otherwise allowed or covered under this Contract from LESSOR. However, during Christmas or national holidays, when gift-giving is part of local custom, a gift or benefit which any person acting on behalf of LESSEE shall offer any Related Person (LESSOR) or any other person representing LESSOR, or a gift or benefit accepted by a Related Person (LESSOR) or any person representing LESSOR, which in either case LESSOR shall deem excessive under the circumstances, shall wholly pertain to LESSOR. In addition, LESSEE agrees not to use or offer any entertainment, recreational or travel facility to any Related Person (LESSOR) for the purpose of persuading, influencing or inducing the exercise of discretion by such Related Person (LESSOR) in any matter involving the business or contractual relationship between LESSOR and LESSEE. The violation by LESSEE of the covenants under this paragraph shall be a ground for the termination of the lease covered by this Contract and any other business or contractual relationship with LESSOR, without prejudice to LESSOR's availing itself of its other remedies under this Contract or any other relevant contract to the extent applicable.

31. DATA PRIVACY ACT: LESSOR and LESSEE each gives its consent to the disclosure of information in connection with the requirements of Republic Act. No. 10173 (The Data Privacy Act of 2012) to the extent indicated below:

(a) LESSOR agrees to disclose information to LESSEE and have the latter collect, record, store, update, use, retrieve, or otherwise process such information in LESSEE's data processing, filing, information and communications systems for sole purpose of allowing LESSEE to verify the performance of the respective obligations imposed upon parties under this Contract. Such information shall include information related to the Leased Premises, and information provided by LESSOR and by its authorized signatories for the completion of the Notarial Acknowledgment of this Contract (which disclosure LESSOR's authorized representatives shall be deemed to have consented to by their signing this Contract on behalf of LESSOR).

(b) LESSEE agrees to disclose information to LESSOR and have the latter collect, record, store, update, use, retrieve, or otherwise process such information in LESSOR's data processing, filing, information and communications systems for sole purpose of allowing LESSOR to determine the financial and legal capacity of LESSEE to perform its obligations under this Contract and to verify the performance of the respective obligations imposed upon parties under this Contract. Such information shall include (i) information indicated in the Certificate of the Corporate Secretary of LESSEE; (ii) information found in governmental permits issued in favor of LESSEE and submitted to LESSOR and information relating to LESSEE's registration, clearance, licensing and qualification with the Securities Exchange Commission, Department of Labor and Employment, Department of Trade and Industry, Bureau of Internal Revenue, local government unit or any government licensing bureau, as applicable; and (iii) information provided by LESSEE and by its authorized signatories for the completion of the Notarial Acknowledgment of this Contract (which disclosure LESSEE's authorized representatives shall be deemed to have consented to by their signing this Contract on behalf of LESSEE).

(c) The information that each party shall receive from the other shall be considered confidential and subject to paragraph 29 (*Confidentiality*). Hence, each of the parties shall not share or disclose the information which it has received from the other party with any third person, whether natural, corporate, or juridical, except with or to their respective stockholders, directors, officers, employees, legal counsel, external auditors or its other duly authorized representatives.

(d) Each party shall immediately inform the other party of any request from the latter which infringes a party's rights or remedies under the Data Privacy Act, and shall provide reasonable assistance to the other party to enable both parties to comply with their respective rights and obligations under the Data Privacy Act. Each party shall make available to the other party such information as may be necessary to determine compliance with the Data Privacy Act.

(e) The information to be provided pursuant to this paragraph shall be retained by the parties for a period of three (3) years after the termination of the lease. Upon the expiry of the period indicated herein, each party shall delete the information provided by the other party from the relevant party's data processing, filing, information and communication systems.

32. PC-PCR/POS GUIDELINES: These Guidelines shall govern the use by LESSEE of a PC-based Point of Sales or electronic cash register (ECR) system for monitoring daily Gross Sales as basis for Percentage Rent. LESSOR reserves the right to modify, revise or supplement the PC-PCR/POS Guidelines, including the penalties to be imposed as provided hereunder, from time to time with prior written notice.

(a) LESSEE shall coordinate with the LESSOR for the establishment of the proper network connection. POS terminals should be installed and connected to LESSOR's POS System/Network not later than the first day of LESSEE's operations, or within fifteen (15) days from LESSEE's receipt of written notice to effect installation from LESSOR. The applicable period within which to effect installation and connection shall be determined by LESSOR.

(b) POS terminals shall be supplied and installed by suppliers accredited with LESSOR. LESSEE shall ensure that POS terminals, even if supplied by suppliers accredited with LESSOR, shall meet the following requirements: (i) shall be covered by valid terminal, software and government licenses; (ii) shall be covered under a service

(c) maintenance agreement with the accredited supplier to ensure adequate support during downtime; and (iii) shall be compatible with LESSOR's POS system/network.

(d) LESSEE shall be responsible for the payment of the inter-connection fee and/or POS terminal fee and such other fees related thereto as LESSOR shall specify in the billing statement to be sent to LESSEE. The respective amounts of these fees and their payment schedule shall also be indicated in the billing statement.

(e) The installation of terminals to be connected to LESSOR's POS System shall require a prior written clearance from LESSOR.

(f) LESSEE shall have the following sales reporting responsibilities:

i) Should LESSEE need to re-send data, LESSEE shall first inform LESSOR through its Billing and Collection Department and IT Department before re-sending data.

(ii) Should a network or infrastructure error occur, LESSEE shall submit a USB and/or a hardcopy of its daily sales to LESSOR c/o of its IT Department and Billing & Collections for the duration of the downtime.

(iii) In case of a breakdown of PC-POS/ECR, LESSEE shall immediately contact the supplier of the PC-POS/ECR system, and cause the latter to provide the first line support and fix the problem at hand. LESSEE shall then inform LESSOR c/o Billing & Collections of the problem and furnish the latter with a copy of the report from the supplier of the PC-POS/ECR system which shall detail the recommended solution(s) to remedy the breakdown.

(iv) Should the breakdown in the PC-POS/ECR be remedied within the day, then LESSEE shall punch the manual Official Receipts (ORs) or Sales Invoices (SIs) into the terminal, and within the same day, and submit to LESSOR c/o Billing & Collections copies of the machine validated ORs or SIs together with the tape reading. LESSEE shall maintain and keep copies of the machine-validated SIs or ORs for use in an audit to be conducted by LESSOR.

(v) Should the breakdown in the PC-POS/ECR last longer than one day, LESSEE shall submit the manual ORs or SIs together with the tape reading to LESSOR c/o Billing & Collections at the end of every day during the period the breakdown in the PC-POS/ECR system has not been remedied.

(vi) LESSEE shall send daily its/his/her ELECTRONIC SALES DATA (ESD) via LESSOR's POS System/Network.

(g) The LESSEE shall have other specific responsibilities, as follows:

(i) shall be required to follow a specified format of the text/dbf file to be sent to LESSOR's POS System/Network;

(ii) shall be required to submit a photocopy of LESSEE's license certificate for its/his/her anti-virus software to LESSOR;

(iii) shall be responsible for regularly updating LESSEE's Anti-Virus software, provided that, in the event LESSEE is discovered to be without an updated anti-virus software, LESSEE shall be given a three-day grace period to update its/his/her anti-virus software; provided further that, should LESSEE fail to update its/his/her anti-virus software by the end of the aforesaid grace period, LESSOR shall disconnect LESSEE's PC-POS system from LESSOR's POS System/Network and shall allow the re-installation of LESSEE's PC-POS system and its connection to LESSOR's POS System/Network only from the date LESSEE updates its/his/her Anti-Virus software;

(iv) shall punch all sales transactions into the PC-POS/ECR; and

(v) shall ensure that extra terminals to be purchased by LESSEE for use as backup during peak seasons or during a period when a breakdown of terminals constituting PC-POS/ECR system occurs, are down, shall be properly configured and tagged by LESSOR c/o its IT Department.

(h) LESSOR shall impose the penalties specified in Table II for the commission by LESSEE of certain unauthorized acts or acts which prejudice the correct and proper reporting of daily Gross Sales as basis for Percentage Rent. The imposition of these penalties shall be in addition to the rights and remedies under law and this Contract which LESSOR may avail itself of in respect of such unauthorized or prejudicial acts.

Table II

Nature of Fee/Penalty	Matter	Amount of Fee/Penalty (subject to change upon prior written notice)
Downtime Fee /Penalty	Applies after the applicable grace period due to the disconnection of the PC-POS/ECR system due to downtime. Downtime shall refer to the inability to read data; non-sending of sales data; sales reading with wrong information; use of data or file formats that are not within LESSOR's specified format; failure to update anti-virus software after applicable grace period; or persistence of a virus in LESSEE's PC-POS/ECR after the applicable 3-day grace period.	Php1,000.00 per day / per terminal

Virus Fee/Penalty	Applies in the event that PC-POS/ECR is disconnected from LESSOR's POS Network due to a virus that LESSEE has been unable to remove after the applicable grace period.	1st Offense – Php3,000.00 2nd Offense – Php5,000.00.00 3rd Offense - Php10,000.00 Each offense after the 3rd offense – Php10,000.00
Non-Punching Fee/Penalty	Applies in the event that LESSEE fails to punch all sale transactions in a working PC-POS/ECR system	Php5,000.00 per invoice or 30% of last reported day's sale, whichever is higher
Unauthorized Connection Fee	Applies to the unauthorized connection of the LESSEE's PC-POS/ECR system to the system of LESSOR	Php5,000 per terminal / device or 10% of the previous month's reported Gross Sales, whichever is higher

IN WITNESS WHEREOF, the parties hereto have signed this Contract on _____ at _____.

GREENFIELD DEVELOPMENT CORPORATION
(Lessor)
By:

MARTIN DE LEON DUANE A.X. SANTOS
Authorized Representatives

MARY GRACE FOODS, INC.,
doing business under the name and style of CAFÉ MARY GRACE
(Lessee)
By:

ADRIAN P. DIMACALI
Director

SIGNED IN THE PRESENCE OF:

MARISHIEL N. LORENZANA

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
) S.S.

BEFORE ME, a Notary Public for and in the jurisdiction specified above, on _____, personally appeared:

Party/Authorized Representative	**Taxpayer's Identification No.**	**I.D. Type and Number/Issuing Agency**
MARY GRACE FOODS, INC., doing business under the name and style of CAFÉ MARY GRACE, represented herein by its duly authorized representative:	216-682-854-00129	
ADRIAN P. DIMACALI	217-251-103-000	
GREENFIELD DEVELOPMENT CORPORATION, represented herein by its duly authorized representatives:	000-122-954-000	
DUANE A.X. SANTOS		Passport # EC1061269 05/13/14; NCR East
MARTIN DE LEON		

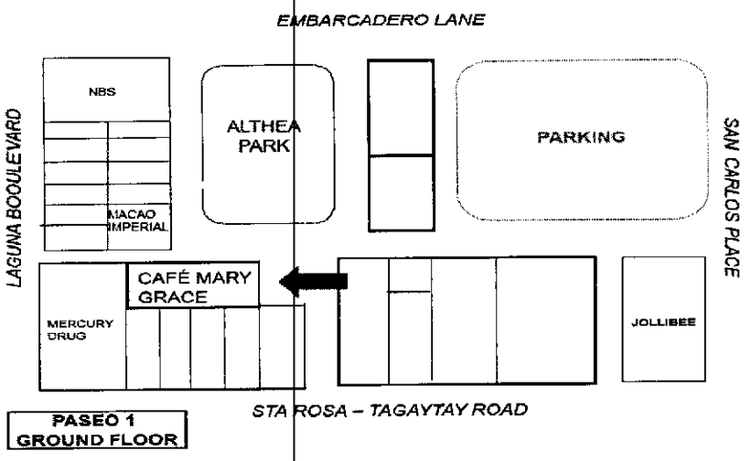
identified by me (through competent evidence of identities bearing their respective photographs and signatures) to be the same persons who executed the foregoing instrument and they acknowledged to me that the same is their free and voluntary act and deed, as well as that of the corporations herein represented. This instrument consists of 15 pages including this page whereon this acknowledgement clause is written. Annex(es) and Addendum have been attached to this instrument. This instrument has been signed by the parties and/or their instrumental witnesses, and sealed with my notarial seal.

WITNESS MY HAND AND SEAL on the date and place first above written.

Doc. No. _____;
Page No. _____;
Book No. _____;
Series of 2024.

Attachments:
Annex A: Sketch Plan of Leased Premises
Annex B: Certificate of Turnover

ANNEX A
SKETCH PLAN OF THE LEASED PREMISES



ANNEX B

Certificate of Turnover

This is to certify that actual physical delivery by LESSOR of the Leased Premises to LESSEE has been effected on _____ (the "Turnover Date") in full and strict compliance with paragraph 8 (*Turnover, Fit-Out and Renovation*) of the Contract of Lease, executed between LESSOR and LESSEE on _____ (the "Contract").

Physical possession of the Leased Premises is hereby turned over to LESSEE in the following condition, and, as applicable, with the following fixtures, equipment and/or facilities:

Upon the termination of the lease covered by the Contract, the Lease Premises shall be returned to LESSOR with the facilities, equipment and fixtures specified herein (reasonable wear and tear excepted), to the extent applicable, and in compliance with the other requirements of the Contract.

This certification is being issued in compliance with the requirements of the Contract.

Given this __th day of _____ .

GREENFIELD DEVELOPMENT CORPORATION
LESSOR
By:

_____ _____

MARY GRACE FOODS, INC.
doing business under the name and style of CAFÉ MARY GRACE
LESSEE
By:

_____

SIGNED IN THE PRESENCE OF:

_____ _____